

Chapter 12

THE ROLE OF FUNDAMENTALS

Many people insist upon being given “reasons” for market action, both anticipated and actual, other than those derived from market analysis. However, conditions and events outside the market that are presumed to *cause* market trends in fact *lag* those trends. Price patterns, which reflect social psychological changes, are precisely what forecast a change in outside events. The true fundamental cause of market movements is the nature of social man, which in the aggregate is governed by unconscious forces that produce wave patterns. Thus, an armchair argument about why current extra-market conditions do or do not support the case for change is a waste of time and often counterproductive to reaching a correct conclusion. Since conventional theories misunderstand the relationship between the market and events, investors often allow such events to persuade them to join a market’s trend after it has substantially progressed, or even after it has ended. This is the reason they are caught fully invested at the top and in cash at the bottom.

The false belief that government can affect trends, i.e., change a bear market to a bull market, often causes people to stay invested in a bear market. However, government does not act; it only reacts, and it is always the *last* institution to react, because it is the ultimate crowd, every decision being made by committee and as a result of pressure from the majority of voters. For example, the securities laws of 1934 were passed to prevent the crash that had already occurred and the depression that had already bottomed. Indeed, it was a lagging indicator that the bottom had passed. Similarly, the Monetary Control Act passed in December 1980 was designed to deal with the runaway inflation that had raged for a decade and had ended nearly a year before. Again, the passage of the act was a lagging indicator that the period of accelerating inflation was over.

While knowledge of current events and extramarket conditions has almost no value in predicting the stock market, knowledge about the position of the market can be used to predict changes in outside conditions. The Wave Principle provides a basis for speculating upon upcoming changes in market trends and therefore, the events that